WELLS FARGO ADVISORS

Still a time for action

2013 Midyear Economic and Market OUTLOOK

A special publication from our Investment Strategy Committee

Economy

What's ahead for the economy?

Our Chief Macro Strategist gives his view on unemployment, inflation and economic growth prospects.

U.S. equities

Can stocks see more upside?

Our Chief Equity Strategist highlights recent market action and our outlook for stocks in the months ahead.

Fixed income

What's next for the Fed?

Our Chief Fixed Income Strategist discusses Fed policy and its influence on the bond market and interest rates.

International

Where are the risks?

Our Chief International Strategist shares his analysis on primary factors impacting our international outlook.

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Forecasts and recommendations in this report are produced by analysts and strategists on Wells Fargo Advisors' Investment Strategy Committee.

Economic and market forecast

As of May 31, 2013, unless otherwise noted

Economy		2012 year end	2013 latest	2013 year-end forecast
Inflation-adjusted GDP	*rolling four quarters*	2.0%	1.8%[1]	2.5%
Inflation-adjusted GDP	*latest quarter percent change annual rate*		2.4%[1]	
Unemployment	*end of period/latest*	8.5%	7.6%[2]	7.2%
CPI inflation	*12-month average*	3.2%	1.7%[3]	2.0%
Federal deficit	*rolling 12-months*	$1.2 tril.	$0.9 tril.[3]	$0.6 tril.
Existing home sales (SAAR*)	*end of period/latest*	4.4 mil.	5.0 mil.[3]	5.5 mil.
Total vehicle sales (SAAR*)	*end of period/latest*	13.5 mil.	15.2 mil.[2]	15.5 mil.

U.S. equity		2012 year end	2013 latest	2013 year-end forecast
S&P 500 index	*latest (as of 5/31/13)*	1,426.19	1,630.74	1,650-1,700
S&P operating earnings	*trailing four quarters*	$96.88/shr.	$98.34/shr.[1]	$108.00/shr.
S&P 500 price/earnings	*trailing four quarters operating earnings*	14.72[1]	16.58[1]	15.51

Fixed income		2012 year end	2013 latest	2013 year-end forecast
Target federal funds rate	*latest (as of 5/31/13)*	0.12%	0.12%	0.12%
10-year Treasury yield	*latest (as of 5/31/13)*	1.76%	2.13%	2.25%
30-year Treasury yield	*latest (as of 5/31/13)*	2.95%	3.28%	3.50%

International, commodities and currency		2012 year end	2013 latest	2013 year-end forecast
MSCI EAFE index	*latest (as of 5/31/13)*	1,604.00	1,702.25	1,675-1,725
MSCI Emerging Markets index	*latest (as of 5/31/13)*	1,055.20	1,008.88	1,125-1,175
Oil (per barrel)	*latest (as of 5/31/13)*	$91.82	$91.97	$93.00-$97.00
Gold (per troy ounce)	*latest (as of 5/31/13)*	$1,675.35	$1,387.92	$1,475-$1,525
U.S. dollars per euro	*latest (as of 5/31/13)*	$1.32	$1.30	$1.25

*SAAR = Seasonally adjusted annual rate 1 = Data as of first-quarter 2013 2 = Data as of May 2013 3 = Data as of April 2013 **Source:** Bloomberg, Wells Fargo Advisors

Recommended strategic portfolio weightings

As of May 31, 2013

Asset classes

Overweight	Evenweight	Underweight
U.S. large-cap stocks	Commodities	International developed fixed income
	Dollar	Long-term IG† bonds
	Emerging-market stocks	
	High-yield securities	
	Intermediate-term IG† bonds	
	International developed stocks	
	International emerging market fixed income	
	REITs	
	Short-term IG† bonds	
	U.S. mid-cap stocks	
	U.S. small-cap stocks	

Note: Weightings are relative to current firm strategic asset allocation models. **Source:** Bloomberg, Wells Fargo Advisors

†IG - Investment grade - Treasuries, agency securities, mortgage-backed securities, corporate bonds and municipal bonds.

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There is still time for action

Late last year, the U.S. economy appeared to be in trouble. The unemployment rate was high; businesses were reluctant to hire additional workers; and a dysfunctional government seemed to be ready to let the economy go over a Fiscal Cliff. Hence, investors were holding very defensive positions waiting for the economic uncertainty to clear, both here and overseas.

Our 2013 Outlook report, titled "A Time for Action," recommended that investors be less defensive and position themselves for a better economy and a higher stock market in 2013 and 2014. Unfortunately, many investors appear to have waited for all of the clouds to pass before taking action and are now wondering what to do after the stock market has had a strong advance during the first half of the year.

Our advice remains this: We believe there is still time for action. The U.S. stock market, as represented by the S&P 500 index, has rallied to new record highs this spring, surpassing the previous peaks set in 2000 and 2007. Some investors may worry that the market could turn down again. Of course, anything is possible, and unexpected bad news could undermine the recent market gains. Nevertheless, we believe the outlook for the U.S. economy remains favorable. In fact, the economy appears to be in a "sweet spot," with declining unemployment and moderating inflation occurring simultaneously. Historically, these conditions have been positive for U.S. financial assets. Therefore, we anticipate that the U.S. stock market will probably trade higher looking into 2014. We are raising our year-end target on the S&P 500 from 1,575-1,625 to 1,650-1,700. We are also initiating a very preliminary 2014 target of 1,850-1,900. However, history suggests that the equity markets could be volatile in the second half of 2013 after the strong advance in the first half of the year.

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U.S. economy appears to be in a "sweet spot" with both declining unemployment and moderating inflation.

U.S. equities 6

We still expect further upside potential for stocks into 2014, but volatility may increase in the second half of the year.

Fixed income 8

Our outlook is for modestly higher interest rates in the near term with continued Fed easing likely.

International & commodities 10

We're keeping an eye on the developing global economic rebound, the U.S. dollar and structural reform.

Conclusion 12

We maintain a positive outlook and believe there is still opportunity for investors to act.

The U.S. economy is in an unusual "sweet spot"

Barring the unforeseen, a stronger economy appears to be taking shape

Gary Thayer
Chief Macro Strategist

The U.S. economy faces many challenges, but the underlying fundamentals look increasingly positive. Companies are hiring more workers and laying off fewer employees. As a result, the headline unemployment rate declined to 7.5% in April 2013 from 8.1% in the same month a year ago. At the same time, inflation in the first four months of 2013 averaged only 1.7%, down from 2.7% in the first four months of 2012.

In our 2013 Outlook report released late last year, we projected the unemployment rate would decline to 7.5% by the end of 2013 and inflation would average 2.5%. This positive view on the economy appears to have been too conservative. Consequently, we are reducing our projected year-end unemployment rate to 7.2% and lowering our full-year average inflation rate to 2.0%.

The sum of the unemployment and inflation rates gives a single measure that reflects two of the most important concerns facing many consumers and investors. This single measure, called the misery index, has been trending down during the past year, as the unemployment rate has declined and inflation has decreased. Our work indicates that a declining misery index is often associated with increasing investor sentiment. Historically, when the misery index is declining, investors often pay a higher price for a dollar of corporate earnings, causing the price-to-earnings (P/E) ratio to increase. From a macro point of view, we believe that the United States is currently at that "sweet spot": the misery index is declining because both the unemployment rate and the inflation rate are decreasing.

2013 Year-end Forecasts

2.5%
Inflation-adjusted GDP
Rolling four quarters

7.2%
Unemployment
End of period

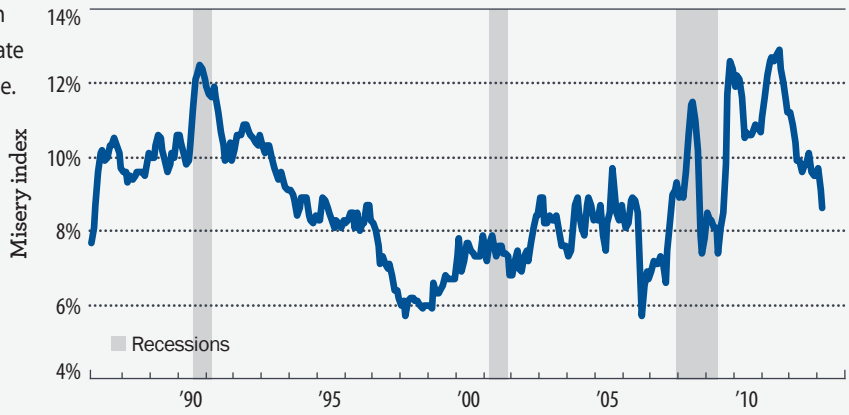
2.0%
CPI inflation
12-month average

Source: Wells Fargo Advisors

Misery index declining as unemployment and inflation ease

The misery index is the sum of the 12-month inflation rate and the unemployment rate.

Looking ahead, we believe the misery index is likely to decline further this year because the Fed has said it intends to provide further monetary stimulus, until unemployment declines to 6.5% or inflation rises to more than 2.5%.



Source: Bureau of Labor Statistics, Haver Analytics and Wells Fargo Advisors

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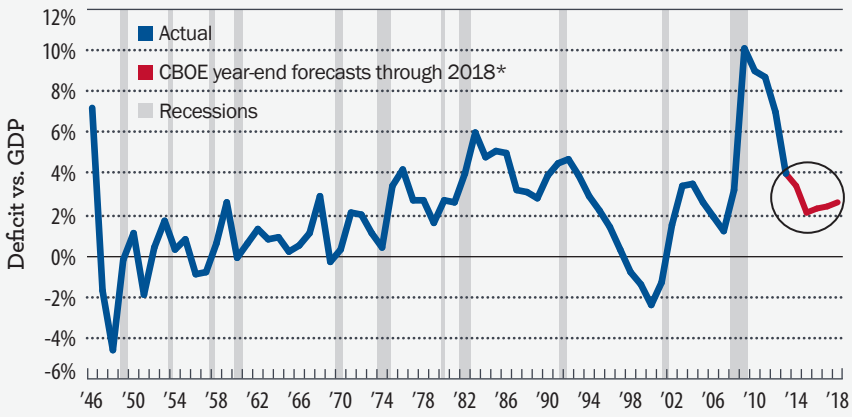
U.S. federal budget deficit has declined

The federal budget deficit has declined, and the U.S. economy is looking better than many foreign economies.



*Congressional Budget Office Estimate

Source: Haver Analytics and Wells Fargo Advisors

Good news on the deficit

This past year, many investors worried that big government deficits would hamper U.S. economic growth and make foreign investors less willing to purchase U.S. financial assets. Fortunately, the budget deficit has declined, and the U.S. economy is looking better than many foreign economies. Consequently, foreign demand for U.S. investments has pushed the U.S. dollar's value higher. This stronger dollar also helps keep inflation low by making imported raw materials less costly in dollar terms.

On the budget front, the Congressional Budget Office has estimated that the federal deficit could fall to $642 billion in the current fiscal year ending September 30, 2013, $200 billion less than the previous estimate made in February. The federal deficit is declining because the stronger economy is generating more tax revenue. Revenues have also increased because Congress allowed President Obama's payroll tax holiday to expire at the start of 2013 and Congress did not rescind the automatic spending cuts, known as the sequester, which started in March. The federal deficit, as a percent of gross domestic product (GDP), is still high at 4.0%. However, that is much lower than the $1.4 trillion federal budget deficit in 2009, which was 10.1% of GDP.

Trade balance remains favorable

Just a few years ago, many people worried that world energy production had peaked. During much of the past decade, the U.S. trade deficit increased because the United States imported more than it exported, especially energy products. Fortunately, this trend is changing. The increased production of crude oil and natural gas, using fracking technology, appears to be changing the long-run outlook for U.S. energy imports. In fact, some analysts are projecting that the United States could be energy independent by the end of the current decade. The International Energy Agency recently said that the increase in U.S. energy production is a transformative event. This means that investors' concerns about a potential dollar crisis caused by big budget deficits and a big trade deficit may not materialize.

Better, but not strong, economic growth

Finally, we continue to believe that the U.S. economy is likely to grow at about an average 2.5% annual rate during 2013. That is slightly better than 2012 but not as strong as the average growth rate in what is considered a strong economy. If inflation remains low or declines further because a stronger dollar weighs on commodity prices, then the U.S. economy could be even stronger next year.

Though choppy, market has potential to move higher

Investors should focus on cyclically oriented stocks

Stuart Freeman, CFA®
Chief Equity Strategist

2013 year-end forecasts

$108
S&P 500 earnings/share

1,650-1,700
S&P 500 index

Source: Wells Fargo Advisors

Although the S&P 500 Index has increased in value by roughly 149% since the bottom of the bear market in early 2009, we believe there is more upside for stocks over the next 12 to 24 months. First, while the market has increased by 149%, earnings have also increased by 114%. Price-to-earnings (P/E) multiple expansion has accounted for less than one quarter of the market's rise. Some investors are still holding tightly to cash alternatives, which offer negative returns after inflation, and fixed-income vehicles, which offer little yield and potential downside if the instruments have longer-term durations. In other words, investor sentiment continues to be relatively soft, even after four years of economic recovery. The P/E multiple is still roughly 15.2x and below the long-term median of 16.5x. In fact, when compared to the yield of the 10-year Treasury, the relative valuation of the S&P 500 index is as cheap today as it was expensive at the peak of the 2000 market (see the chart on page 7). Over the last 13 years, the S&P 500 has finally moved beyond the highs of 2000 and 2007, but the P/E valuation has declined from more than 30x in 2000 to more reasonable levels today.

Consumer confidence and spending have increased much more quickly than investor sentiment. The poor investor sentiment has likely resulted from a number of factors: 1) the depth of the bear markets during the past two recessions; 2) the breadth of the economic pain felt globally as a result of the breaking of a real-estate boom driven by excess debt, and 3) the slower-than-average recovery of the U.S. economy and jobs. Despite the S&P 500 index and other broad equity indices only recently touching new all-time highs, earnings hit a new all-time high back in the first quarter of 2011, and S&P 500 revenues hit a new high in the third quarter of that year.

In 2011 and 2012, the Fed aggressively added liquidity to the economy. Meanwhile, some other ailing countries around the world were still increasing their interest rates and tightening monetary policy. For this reason, concerns over Europe's and China's economies, uncertainty over the presidential election, and worries over a Fiscal Cliff and the U.S. budget, investors were particularly cautious regarding the purchase of equities. However, by year-end 2012, the noisy election period had passed and the tax increase portion of the Fiscal Cliff negotiations were put into place.

As a result, uncertainties softened, and the U.S. economy was experiencing a broader recovery (across more sectors). Much of the rest of the world had also started to work through debt issues and add more global liquidity. Hence, late last year, we believe stocks embarked upon the second leg of this cyclical bull market.

Today, the world is awash with liquidity, and the U.S. economic recovery is in a later phase. More sectors are participating, and job growth is broadening. In addition, the lagging international recovery is fueling international buying of U.S. equities. Therefore, in our opinion, our domestic recovery has the potential to continue through 2015. With continuing moderate earnings growth (we expect a mid-single-digits pace this year and next) and more individuals benefiting from the recovery, we believe investor sentiment will continue to improve. More investors will be willing to acquire equities, which appear to have better return opportunities through earnings growth and P/E expansion. In recent periods, inflation expectations have softened with modest global growth. As other countries allow their currencies to depreciate, the result is likely to be less U.S. inflation, which is likely to allow the Fed to keep its accomodative stance for a

2013 opportunities in equities

As of May 31, 2013

Overweight	% of S&P 500	Guidance	Evenweight	% of S&P 500	Guidance	Underweight	% of S&P 500	Guidance
Consumer Discret.	11.8%	14.0%	Consumer Staples	10.5%	10.7%	Energy	10.6%	9.5%
Info. Tech.	18.2%	21.0%	Industrials	10.1%	10.6%	Financials	16.7%	15.0%
Materials	3.4%	4.5%				Health Care	12.6%	10.7%
Telecom.	2.8%	4.0%				Utilities	3.2%	0.0%

Note: S&P 500 weightings as of May 31, 2013. May not add to 100% due to rounding.

Source: Bloomberg, Wells Fargo Advisors

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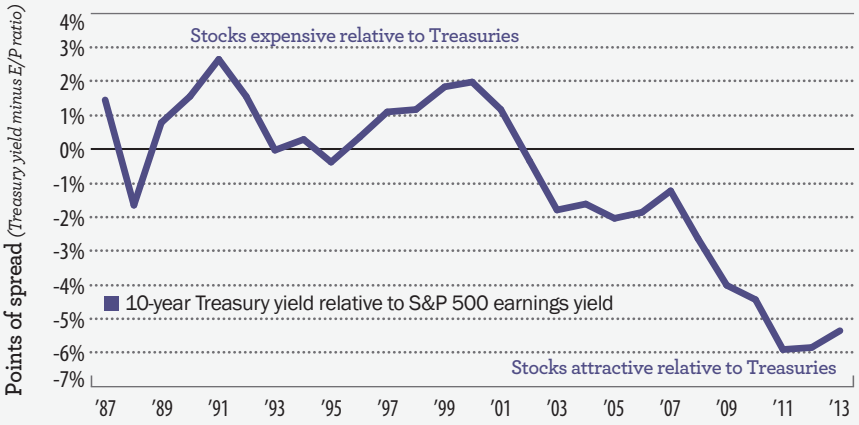
more extended period of time. This more accomodative stance could benefit more consumers interested in refinancing their homes. Lower U.S. inflation rates and a stronger dollar are also likely to drive more foreign investors into large-capitalization domestic stocks.

There is still time for investors to participate in equities

We are increasing our year-end 2013 target range for the S&P 500 index to the 1,650-1,700 range from the previous 1,575-1,625 level. In recent months, strong global liquidity growth and the momentum of a stock market playing catch-up after an uncertain 2012 pushed the index higher. We believe the index may move higher in the near term. However, we consider it likely that stocks could fluctuate in a sideways range for a few months during the seasonally weak autumn period. Nonetheless, the market currently trades at 15.2x our operating earnings estimate of $108 for this year. We believe that the modest inflation and interest rate environment offers potential for the P/E valuation to move toward the 16.8x historical median over the next 12 months. Therefore, we encourage investors underinvested in equities to begin to average into positions through the end of this year with an eye toward appreciation over the balance of this economic recovery. Given our early outlook for S&P 500 index operating earnings of $113.50, we have also initiated a very preliminary S&P 500 projection of 1,850-1,900 for year-end 2014.

Stocks appear attractive relative to 10-year Treasury

Based on the 10-year Treasury yield versus the S&P 500 earnings yield (E/P ratio), stocks currently appear attractively priced relative to the 10-year Treasury.



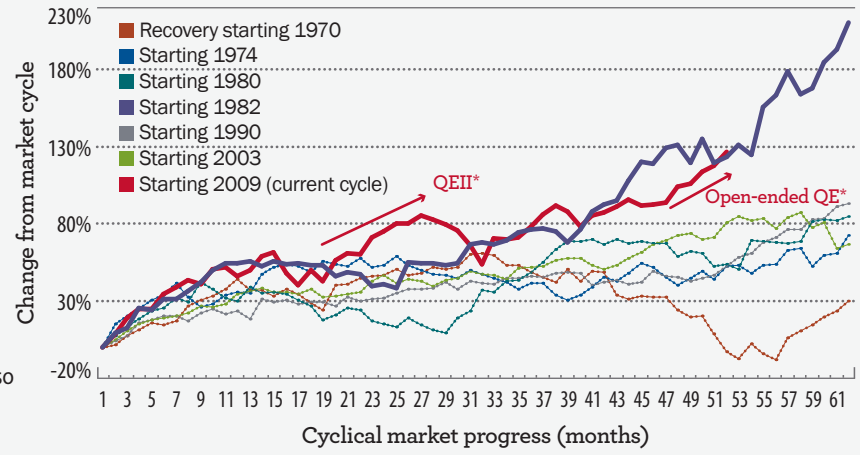
Note: Chart uses average levels for the Treasury yield and S&P 500 E/P ratios in each year.

Source: Baseline, Factset and Wells Fargo Advisors

S&P 500 performance resembles that of the post-1982 market cycle

Trajectory of last seven cyclical bull markets in the S&P 500 measured from month-end following a cyclical market bottom.

The current cycle continues to resemble the post-1982 cycle, with a low relative S&P 500 valuation versus bonds; potential for a stronger dollar and intermediate-term disinflation; and extended growth as the United States continues to expand. We also foresee potential for future contribution from lagging international economies.



*QE = quantitative easing

Source: Baseline, Factset and Wells Fargo Advisors

Fed policy is driving the bond market

Continuing Fed bond purchases should keep interest rates down

Brian Rehling, CFA®
Chief Fixed Income Strategist

2013 year-end **forecasts**

0.12%
target federal funds rate

2.25%
10-year Treasury yield

3.50%
30-year Treasury yield

Source: Wells Fargo Advisors

Fixed-income investors must recognize that now is the time to stick with a well-diversified asset allocation plan.

The Fed maintains a heavy hand in the bond market, purchasing an additional $85 billion in longer-term bonds each month. As a result, interest rates have been driven to very low levels while risk assets continue to appreciate in price. The key to forecasting interest rates over the next six to 12 months will be correctly predicting the extent to which global central banks, including the Fed, will leave in place or even expand current bond purchase programs. In our 2013 Outlook at the beginning of the year, we anticipated that these quantitative easing purchases would wind down near the end of the year, but recent Fed talk coupled with weaker-than-expected inflation data suggest the Fed may continue its purchases into year end.

Many investors, and even some members of the Fed, have been concerned that the Fed's easing operations will lead to inflationary pressures. These potential pressures have been the main reason behind arguments that the Fed should scale back or end its purchases. The recent drop in commodity prices and a lack of inflation have surprised many, including some of the more moderate Fed members.

As a result, the timing for the Fed to begin to scale back its quantitative easing purchases has become less certain. The likelihood of the Fed continuing to purchase bonds through year-end has increased. As a result, we recently lowered our 2013 year-end interest rate targets. Our 10-year Treasury yield target is now 2.25%, a quarter of a percent lower than the previous 2.50% target. The 30-year Treasury target is now 3.50%, also a quarter percent lower than the previous 3.75% target.

Use a measured, balanced approach to fixed income

Even though we have lowered our near-term interest rate outlook, we have not changed our fixed-income investment recommendations. We believe the best strategy for fixed-income investors at this time – given the high price of most fixed-income investments – is a measured and balanced approach. First and foremost, investors must have a good asset allocation plan. In an uncertain world with many potential outcomes, investors should be prepared for any possibility. We currently see little relative value

Short-term rates continue to provide investors with little return

Short-term rates, including cash alternatives, money market instruments and short-term fixed-income investments, remain near zero.

Past performance is not an indication of future results.

Source: Bloomberg, Wells Fargo Advisors

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in any particular fixed-income sector, given the low-yield environment and significant spread compression we have experienced in recent years. We recommend that investors follow our portfolio duration recommendations and build a fixed-income portfolio using a well balanced sector strategy. We recommend that investors target a duration slightly short of benchmark, or 4.25 years, in taxable accounts and 6.75 years in tax-exempt accounts. Fixed income investors should look to navigate the present environment in a position to potentially take advantage of better values in the future, which may arise though market volatility or a change in Fed easing policies.

Look for quality in municipal bonds

Despite well-publicized state and local budget problems in the municipal market, we continue to believe the primary risk to municipal investors will be ratings migration (downgrades) rather than actual default risk, especially in our recommended sectors. We advise municipal investors to maintain well-diversified portfolios and focus on single-A rated or better general obligation and essential-purpose revenue debt of larger, more visible and active issuers for credit quality and liquidity. In our opinion, despite some recent high profile filings, municipal bankruptcies will continue to be rare events.

The uncertainty regarding changes in the tax code will continue to be an issue for municipal investors, and we do not rule out the possibility of some tinkering with the tax code relating to municipals as part of a plan to close tax loopholes and address certain exemptions. Prior proposals have suggested capping the municipal exemption at 28%. We do not anticipate that any potential tax changes will significantly alter the value proposition for municipal securities, but changes could impact an individual investor's particular situation. Higher tax rates at the top bracket went into effect for 2013, which should support municipal valuations.

Be prudent when searching for income

Investors focusing on increasing income within their portfolio should do so with a measured, well-diversified allocation. There are a number of fixed-income sectors, including high yield, bank loans, emerging-market debt and preferred securities, which provide investors with higher income potential. Given the current relatively lofty valuations in most fixed income sectors, we recommend that income-oriented investors also include investment vehicles outside of the fixed income sector in their portfolios. These investment vehicles may include equity real estate investment trusts (REITs), master limited partnerships (MLPs), business development companies (BDCs) and other higher-yielding equity investments. This type of income portfolio strategy potentially increases an investor's risk relative to a traditional portfolio allocation. However, we favor this over a strategy that extends an investor out on the interest rate curve. Nevertheless, investors should understand this type of strategy and make sure that the risks are appropriate for their overall risk tolerance objective. Furthermore, investors with a short investment horizon should use caution in adding to the more credit-sensitive sectors, given their potentially volatile nature. Investors should also refrain from "reaching for yield" by moving lower in credit quality than is appropriate for their risk tolerance.

Cash alternatives remain expensive

We do not expect short-term rates to rise materially for many years, and investors earning little in cash alternatives balances face many years of eroding purchasing power. Unless an investor has near-term liquidity needs, we would not recommend being overweight cash or cash alternatives in a portfolio.

2013 opportunities in fixed income

As of May 31, 2013

Overweight	Slight overweight	Evenweight	Slight underweight	Underweight	Duration
Corporate bonds		Agency securities	Treasury Inflation-Protected Securities	International developed -market debt	Slightly short*
		Emerging-market debt		U.S. Treasuries	
		High-yield securities			
		Preferred securities			
		Mortgage-backed securities			
		Municipal bonds			

Source: Wells Fargo Advisors

**We recommend a duration slightly short of an investor's target duration. If an investor does not have a target duration, then we recommend a duration of approximately 4.25 years in taxable portfolios, and 6.75 years for tax-exempt portfolios. Duration, stated in years, can be used to estimate the percentage change in a bond's value that results from a 1% change in interest rates. The longer (higher) the duration, the more prices will fluctuate as interest rates rise and fall.*

Three factors for international investors to watch

Keep an eye on the economic rebound, policy reforms and the U.S. dollar

Paul Christopher, CFA®
Chief International Strategist

We believe the international outlook hinges on three primary factors: the developing global economic rebound from the 2012 slowdown, the U.S. dollar's value, and potential long-term structural reforms in the world's largest economies.

Global economic recovery should continue

Most international markets were sluggish into mid-2013, as economies recovered slowly from two years of working down excess inventories. Signs of improvement emerged at midyear, however. The U.S. should gain pace and support global spending from its perch as the world's largest economy. Meanwhile, the world's second-largest economy – Europe – should see its recession ease, as policy becomes more supportive. Finally, emerging economies should add support from policies to stimulate spending. The chart below shows a collection of interest rates at a multi-year low for the world's most important economies, indicating policy has turned broadly supportive of lending and spending.

Even if the low rates stimulate financial market rallies, commodity markets are likely to remain subdued for the balance of 2013. Into mid-2013, strong U.S. financial markets attracted global investors and undercut precious metals prices, while high production temporarily has outstripped demand for industrial and agricultural commodities. Suppliers are adjusting, but we think commodity markets will manage only modest returns in the second half of 2013. Returns are more likely to improve in 2014, as long as supplies correct and economic growth reforms continue.

Policy reforms may create opportunities

The world's largest economies are slowly rebalancing away from the excesses of the past decade. U.S. and European consumers and businesses are trying to reduce debt, while policies in Japan and China encourage people to spend down their large savings. Ultimately, we expect new and more sustainable investment opportunities around the world, as the global financial system rebalances between saving and spending.

2013 year-end forecasts

1,675-1,725
MSCI EAFE equity index

1,125-1,175
MSCI Emerging-market equity index

$93-$97
Crude oil per barrel

$1,475-$1,525
Gold per troy ounce

$1.25
euro exchange rate

Source: Wells Fargo Advisors

Global interest rates at multi-year lows

Monetary policy has turned broadly supportive of lending and spending as we've seen global interest rates continue at low levels

Sample: Brazil, Mexico, Turkey, Poland, Switzerland, Australia, South Africa, Taiwan, New Zealand, India, the euro zone, Hungary, Sweden, Indonesia, South Korea, Czech Republic, Norway, Canada, Britain, Singapore, Japan and Denmark

Data: Bloomberg and Wells Fargo Advisors
Data sample: Daily data, Jan. 1, 2004 - May 31, 2013

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Still, the transition is young, and many more steps seem necessary, especially in Europe and China. We believe positive changes are the most likely outcome and should put long-term global economic growth on a more sustainable track and support commodity and international financial markets. Important economic reforms in China, India, Japan and Europe could create new international investment opportunities in the coming year. The risk – though we think it unlikely – is that investors in these markets may still be disappointed if the policy proposals seem too tame or, worse, if these countries fall back on the policies that failed to build sustainable growth. In this less likely case, U.S. financial markets could outperform.

U.S. dollar's performance may be mixed

International policy differences matter increasingly for the U.S. dollar's outlook. From November 2011 to May 2013, the dollar outperformed most noticeably against the yen and the British pound, which slid on new policies to aggressively print these currencies. The euro should join this list if, as we expect, European leaders ease their monetary policy to fight the recession. We look for the dollar to strengthen further against currencies from countries that undertake aggressive monetary stimulus. However, the dollar may lag against currencies from economies that rebound in the second half, especially where new policy reforms are announced. For example, the dollar declined in the first half against the Chinese renminbi and Mexican peso. Both countries are implementing important reforms.

We maintain a cautious view and recommend investors take international positions towards their long-term target allocations in international equity and commodity markets, as well as emerging-market sovereign debt. However, investors should retain exposure slightly below their long-term target allocation in developed-market sovereign debt, as we see no imminent change in the factors that have produced divergent risks in this asset class. Markets perceived as safe havens have seen falling yields from heavy buying, while debt-strapped southern European markets may continue to show high volatility.

Our overall view is that risks are roughly balanced for global markets in the coming year. A stronger second-half global economy should help, but the dollar's likely mixed performance and uncertainty over policy reforms may temper market gains, at least until the policy picture clarifies further in the final quarter of 2013. We continue to expect modest returns in international financial and commodity markets during the coming year.

Use gold as a hedge

Renewed confidence in global financial markets has fueled volatility in gold prices and could produce more turbulence later this year. We view precious metals as a useful hedge and recommend holding no more than 2% of a portfolio's assets in precious metals. We would add exposure to allocations below 2%, but larger allocations should take profits on rallies.

2013 opportunities in commodity and international investments

	Equities	Sovereign debt	Currencies
Developed			
Core	MSCI EAFE index	Citigroup Govt. Bond index	Broad basket of emerging currencies
Satellites	Canada Germany Norway Singapore United Kingdom	Canada Norway	None at this time
Emerging			
Core	MSCI Emerging index	J.P. Morgan Emerging Markets Bond index	Broad basket of emerging currencies
Satellites	South Korea Taiwan	None at this time	None at this time

Source: Wells Fargo Advisors

Commodity	
Core	DBIQ Optimum Yield Diversified Commodity index
Satellites	Gold Silver Precious metals

Source: Wells Fargo Advisors

Take advantage of this opportunity to act

We remain positive on the U.S. outlook over the next year or two. U.S. economic conditions continue to improve with both a declining unemployment rate and a moderating inflation rate. However, the United States still faces many challenges, including long-term deficit problems, high corporate tax rates, low savings rates and foreign competition restraining U.S. wage growth. Nevertheless, the U.S. economy is performing better than those of many other countries.

The United States has overcome many challenges during the past two years and has fewer headwinds restraining growth. Unfortunately, some risks could still hurt U.S. economic prospects, such as the lingering European recession, which could worsen and cause the continent's financial crisis to spill over again into global markets. In addition, China is transitioning to slower economic growth, driven by domestic consumption. If this is mishandled, China could experience a hard landing, in turn creating problems for Chinese banks. Furthermore, there is still the risk that the turmoil in the Middle East could widen and curtail the shipment of crude oil from the region. In particular, Iran could miscalculate and take its nuclear program too far, prompting Israel to attack Iran's nuclear facilities. There is also a risk that trade and travel could be disrupted if there is a major global flu or other medical epidemic. Finally, there is an increasing risk of business disruption from cyber terrorism or traditional terrorism.

We do not believe that these risks are the most likely scenarios that investors should plan for in the year ahead. Unfortunately, no one knows exactly what the future holds. If an investor believes that our positive outlook is too optimistic and expects more trouble than progress in the year ahead, then he or she should consider a more defensive investment strategy than we are currently recommending. In other words, in a negative economic environment, high-grade corporate and Treasury bonds would probably do better than stocks and other higher-risk assets. In addition, if investor confidence were to decline again, rather than increase as we expect, gold and other perceived safe-haven investments would probably outperform stocks as risk aversion returned.

However, U.S. economic trends appear to be improving; we are seeing good news on the federal budget deficit; the U.S. trade balance remains favorable; and the economy continues to grow. Investors have been rewarded this year for seeking opportunities to grow, rather than being defensive with, assets. We believe this trend toward less defensive investing is likely to continue during the next six to 12 months as the U.S. economy continues to strengthen. Therefore, we continue to remind investors that there is still time for action.

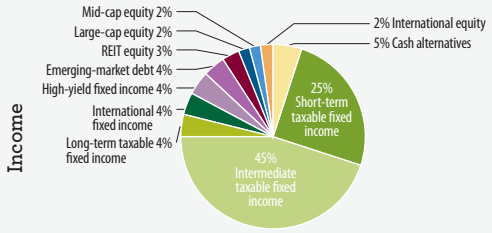
Please see page 15 for important disclaimers.

Have an overall plan before you act

To make the process of developing your overall investment strategy easier, Wells Fargo Advisors has crafted nine models for asset allocation (shown below) that cover a wide range of objectives from conservative income to long-term growth. Your Financial Advisor can work with you to choose an asset allocation (investment mix) specifically addressing your situation and goals.

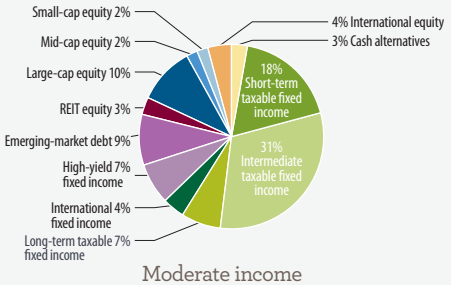
Strategic asset-allocation models

Conservative



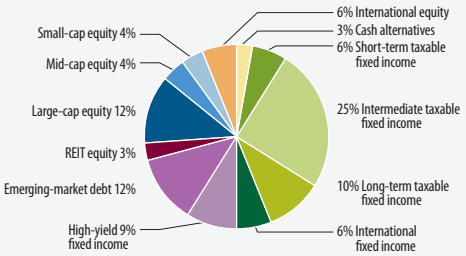
Conservative income

Moderate

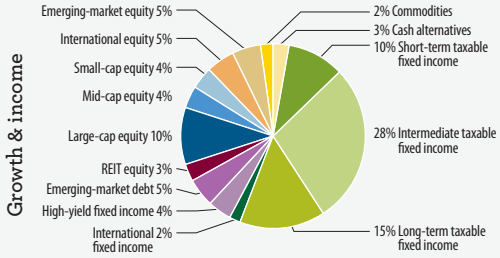


Moderate income

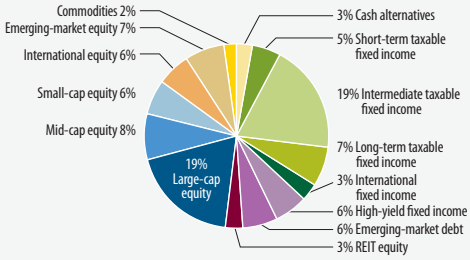
Long term



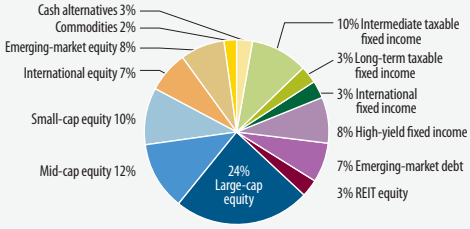
Long-term income



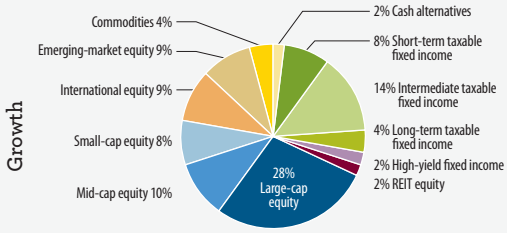
Conservative growth and income



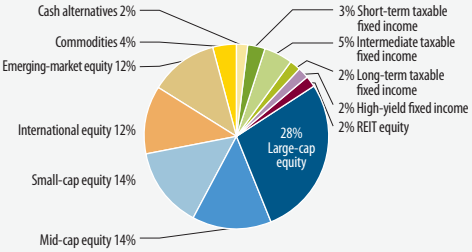
Moderate growth and income



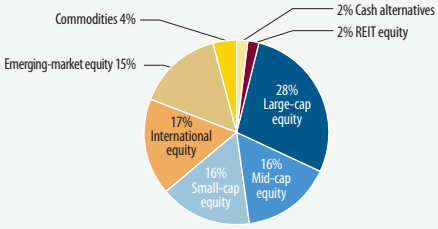
Long-term growth and income



Conservative growth



Moderate growth



Long-term growth

Investment objectives

Growth. Emphasis is on potential capital appreciation.

Growth and income. Balance in emphasis between potential capital appreciation and income.

Income. Emphasis on achieving current income.

Risk tolerance

Conservative. The least risk for a given investment objective.

Moderate. A higher degree of risk for the potential to receive higher returns.

Long-term. The highest risk within a given investment objective.

Please see page 15 for important disclaimers.

Definitions

Alternative income includes international fixed income, high yield, emerging-market debt and real estate investment trusts.

Commodities are basic goods used in commerce that are generally interchangeable with other commodities of the same type. Commodities are most often used as inputs in the production of other goods or services.

Consumer Price Index (CPI) is a measure of the weighted average of prices of a basket of consumer goods and services, such as transportation, food and medical care. The CPI is calculated by taking price changes for each item in the predetermined basket of goods and averaging them; the goods are weighted according to their importance. Changes in CPI are used to assess price changes associated with the cost of living.

Current yield (frequently referred to as yield) is the annual income an investment provides divided by its current market price. For example, a bond selling at par ($1,000) paying $100 annually in interest would have a 10% yield. However, if the bond's market price fell to $900, its yield would increase to approximately 11%.

Cyclical stocks are typically those of companies that sell discretionary items that consumers can afford to buy more of in a booming economy and will cut back on during a recession. In other words, when the economy is doing well, cyclical investments tend to perform well. The opposite, of course, is true when the economy is doing poorly. Defensive investments, on the other hand, tend to be less affected by economic cycle changes.

Duration can be used to estimate the percentage change in a bond's value that will result from a 1% change in interest rates. For example, a duration of four means that a 1% change in prevailing rates in a one-year period should shift the bond's price in the opposite direction by 4%. The longer (higher) the duration, the more the bond's price will fluctuate as interest rates rise and fall.

Emerging markets are financial markets in countries with developing economies. These markets are typically immature compared to those of the world's major financial centers but are becoming increasingly sophisticated and integrated into international markets; they provide potentially higher returns but are intensely volatile.

Federal deficit is the shortfall between the amount of money the federal government takes in during a fiscal year and what it spends. It is often confused with the federal debt, which is the total amount the government owes as a result of current and past deficits.

Gross domestic product (GDP) is the total value of the goods and services the economy produces during a year. Increasing GDP indicates growing economic activity. Decreasing GDP suggests the opposite.

High yield is noninvestment-grade fixed income securities (rated Ba1 or lower by Moody's and/or BB+ or lower by S&P). These investments are considered to be speculative and are subject to a higher degree of risk.

Intermediate-term fixed income includes instruments that mature in six to 12 years.

International investing involves putting money into financial markets in developed economies outside of the United States.

Large-cap growth stocks have a market cap greater than $10 billion and a price-to-book ratio greater than 2.3.

Large-cap value stocks have a market cap greater than $10 billion and a price-to-book ratio less than or equal to 2.3.

Liquidity, in regard to the economy, is a reference to the money supply. The greater the liquidity, the larger the money supply.

Long-term fixed income includes instruments whose maturities are greater than 12 years.

MSCI EAFE (Europe, Australasia and Far East) index compiled by Morgan Stanley Capital International (MSCI) is a value-weighted index of the equity performance of major foreign markets. In effect, it is a non-American world index of more than 1,000 stocks.

MSCI Emerging-market index was created by MSCI and designed to measure equity market performance in global emerging markets.

Mid-cap growth stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio greater than 2.3.

Mid-cap value stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio less than or equal to 2.3.

Money supply is, as the name suggests, the amount of money in the economy and consists primarily of currency in circulation and deposits in checking and savings accounts. In the United States, Federal Reserve policy is the most important deciding factor in determining the money supply.

Quantitative easing is a Fed strategy for increasing the money supply (adding liquidity) to help keep interest rates low and stimulate economic activity. In general, it involves Fed purchases of bonds from banks, providing them with money to lend to businesses and consumers.

Real estate investment trusts (REITs) trade on the major exchanges and invest in real estate directly, either through properties or mortgages.

Russell 2000 index measures the performance of the small-cap segment of the U.S. equity universe. It includes approximately 2,000 of the smallest securities based on a combination of their market capitalization and current index membership.

Short-term fixed income includes instruments that mature in one to six years.

Small-cap growth stocks have a market cap less than $2 billion and a price-to-book ratio greater than 2.3.

S&P 500 index consists of 500 industrial, financial, utility and transportation companies with market capitalizations of $4 billion or more.

Disclaimers

Some information contained in this report was prepared by or obtained from sources that Wells Fargo Advisors believes to be reliable. Any market prices are only indications of market values and are subject to change.

Wells Fargo Advisors may not offer direct investments into the products mentioned in this report.

Past performance is not an indication of future results.

An index is not managed and is unavailable for direct investment.

Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuations, political and economic instability, and different accounting standards. This may result in greater share price volatility. These risks are heightened in emerging markets.

Asset allocation does not guarantee a profit or protect against loss in declining markets.

Technology and Internet-related stocks, especially of smaller, less-seasoned companies, tend to be more volatile than the overall market.

The prices of small- and mid-cap company stocks are generally more volatile than large-company stocks. They often involve higher risks because smaller companies may lack the management expertise, financial resources, product diversification and competitive strengths to endure adverse economic conditions.

Investing in fixed income securities involves certain risks, such as market risk if sold prior to maturity and credit risk, especially if investing in high-yield bonds, which have lower ratings and are subject to greater volatility. All fixed income investments may be worth less than original cost upon redemption or maturity. Income from municipal securities is generally free from federal taxes and state taxes for residents of the issuing state. While the interest income is tax-free, capital gains, if any, will be subject to taxes. Income for some investors may be subject to the federal alternative minimum tax (AMT).

Bond prices fluctuate inversely to changes in interest rates. Therefore, a general rise in interest rates can result in the decline of the value of your investment.

An investment in Master Limited Partnership (MLP) units involves certain risks which differ from an investment in the securities of a corporation. Holders of MLP units have limited control and voting rights on matters affecting the partnership. In addition, there are certain tax risks associated with an investment in MLP units and conflicts of interest exist between common unit holders and the general partner, including those arising from incentive distribution payments. The risks associated with an MLP are outlined in the prospectus. You should carefully consider these risk factors before investing. Also, an MLP shareholder, i.e., a limited partner unit holder, receives a K-1 instead of a 1099. Investors should contact their tax accountant for further tax implications before investing in MLPs. Wells Fargo Advisors is not a legal or tax advisor.

There are special risks associated with investing in preferred securities. Preferred securities generally offer no voting rights with respect to the issuer. Preferred securities are generally subordinated to bonds or other debt instruments in an issuer's capital structure, subjecting them to a greater risk of non-payment than more senior securities. In addition, the issue may be callable, which may negatively impact the return of the security. Preferred dividends are not guaranteed and are subject to deferral or elimination.

The interest rate for Treasury Inflation-Protected Securities (TIPS), which is set at auction, remains fixed throughout the term of the security. The principal amount of the security is adjusted for inflation, but the inflation-adjusted principal will not be paid until maturity although the adjustment will be subject to income tax in the year it was earned. Wells Fargo Advisors is not a tax advisor. TIPS have special tax consequences, generating phantom income on the "inflation compensation" component of the principal. A holder of TIPS may be required to report this income annually although no income related to "inflation compensation" is received until maturity.

There are special risks associated with an investment in real estate, including credit risk, interest rate fluctuations and the impact of varied economic conditions. Distributions from REIT investments are taxed at the owner's tax bracket.

While stocks generally have a greater potential return than government bonds and Treasury securities, they involve a higher degree of risk. Government bonds and Treasury bills, unlike stocks, are guaranteed as to payment of principal and interest by the U.S. government if held to maturity. Although Treasuries are considered free from credit risk, they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate inversely to a change in interest rates.

Bank loans have speculative characteristics, including the risk of non-payment of principal and interest. Other risks may include insolvency, collateral impairment, illiquidity and the risk of bankruptcy.

Investing in a Business Development Company (BDC) involves economic, credit and liquidity risks in addition to the special risks associated with investing in a portfolio of small and developing or financially troubled businesses. Each BDC may have its own unique risks that are outlined in the prospectus. These securities are not suitable for all investors and should not be purchased on the basis of yield alone.

Investing in commodities is not suitable for all investors. Exposure to the commodities markets may subject an investment to greater share price volatility than an investment in traditional equity or debt securities. The prices of various commodities may fluctuate based on numerous factors. Products that invest in commodities may employ more complex strategies which may expose investors to additional risks.

Investing in gold, silver or other precious metals involves special risk considerations, such as severe price fluctuations and adverse economic and regulatory developments affecting the sector or industry.

There is no assurance that any of the target prices or other forward-looking statements mentioned will be attained. Any market prices are only indications of market values and are subject to change.

Standard & Poor's credit rating: A-rated securities are upper-medium grade. Bonds, that possess many favorable investment attributes are considered as upper-medium-grade obligations. Factors giving security to principal and interest are considered adequate, but elements may be present which suggest a susceptibility to impairment sometime in the future.

Stay informed

Our strategists will be following all the latest developments and trends to determine their potential impact on the U.S. and global economy, the markets, and political events overseas. There are a number of ways to access our advice and commentary to stay informed about how developments may affect you financially.

Talk to your Financial Advisor

He or she can provide research and advice from Wells Fargo Advisors as well as review your current investment strategy and goals and help ensure that you are aligned with your long-term goals and/or prepared to act if anything should change.

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